MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-BVOC (HONOURS) Regular EXAMINATION April 2026

SECOND SEMESTER

Skill Development Components (SDC) - MG2SDCBTX101 – COMPUTERIZED ACCOUNTING (2025 ADMISSION ONWARDS)

VALUATION SCHEME

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I)and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A – MCQ

Very Short Answers

Answer any 10 questions

Each question carries 1 marks

1. What is expense?
   An expense is the cost incurred by a business in the process of earning revenue. It includes payments for rent, salaries, electricity, and other operational activities. Expenses reduce the profit of the business and are recorded in the Profit and Loss Account. Expenses can be classified as direct expenses and indirect expenses.
2. What is the function of the configuration menu?
   The configuration menu in Tally is used to customize settings according to business requirements. It helps in enabling or disabling features like inventory, payroll, and taxation. Users can also modify display and printing options. It ensures flexibility in system usage.
3. **What is a Receipt Note?**
   A Receipt Note is a document used to record the receipt of goods from a supplier. It is created when goods are received before the purchase invoice. It updates the inventory without affecting accounts immediately. It helps in tracking stock inward.
4. **What is a Profit and Loss Account?**
   A Profit and Loss Account is a financial statement that shows the profit or loss of a business over a period. It records all incomes and expenses. If income exceeds expenses, it shows profit; otherwise, it shows loss. It helps in evaluating business performance.
5. **What is a financial transaction?**

A financial transaction is any business activity that involves the exchange of money or monetary value. It includes purchases, sales, payments, and receipts. Every transaction affects the financial position of the business. These are recorded in accounting books.

6. **What is manual accounting?**

Manual accounting is the traditional method of recording financial transactions by hand. It involves maintaining physical books like journals and ledgers. It is time-consuming and prone to errors. However, it helps in understanding basic accounting concepts.

7. **What is a ledger?**

A ledger is a book or record that contains all accounts of a business. It classifies and summarizes transactions recorded in the journal. Each account, such as cash or sales, has a separate ledger. It helps in preparing financial statements.

8. **Name two types of Units of Measure.**

The two types of units of measure are Simple Units and Compound Units. Simple units include kg, liters, and numbers. Compound units are formed by combining simple units, like dozens or boxes. They are used in inventory management.

9. **What is the adjustment entry for outstanding interest income?**

The adjustment entry for outstanding interest income is:

Outstanding Interest A/c Dr.

To Interest Income A/c

This entry records income that has been earned but not yet received. It ensures accurate profit calculation. It follows the accrual concept.

10. **What is meant by display of inventory reports?**

Display of inventory reports refers to viewing stock details without making changes. It shows information like stock summary, movement, and valuation. It helps in analyzing inventory position. It ensures data safety as it is a non-editable model.

11. **What are Final Accounts?**

Final Accounts are the financial statements prepared at the end of an accounting period. They include Trading Account, Profit and Loss Account, and Balance Sheet. These accounts show the financial performance and position of a business. They are used for decision-making.

12. **What is meant by journal entry?**

A journal entry is the first record of a financial transaction in the books of accounts. It follows the double-entry system with debit and credit aspects. Each transaction is recorded with proper narration. It serves as the basis for posting to the ledger.

Part B

Short Essay Question

Answer any 4 questions

Each question carries 5 marks

13. Explain the creation of Stock Categories in Tally

Stock Categories in Tally are used for the parallel classification of stock items based on common characteristics, irrespective of the stock groups to which they belong. This feature is

especially useful when businesses want to analyze inventory from multiple perspectives, such as brand, product type, or specification.

To create Stock Categories, the feature must first be enabled. Go to Gateway of Tally → F11 (Features) → Inventory Features, and set "Maintain Stock Categories" to Yes. Once enabled, navigate to Gateway of Tally → Inventory Info → Stock Categories → Create. In the creation screen, enter the Name of the Stock Category, such as "Electronics" or "Branded Items." If required, select a Parent Category to create a hierarchical structure. After entering the details, save the category.

Stock Categories allow businesses to group items that may belong to different stock groups but share similar attributes. For example, a mobile phone and a laptop may belong to different stock groups but can be categorized under "Electronics." This helps in generating category-wise reports and comparisons.

14. Describe the process of generating reports in Tally

Tally provides a wide range of reports that help businesses analyze financial and inventory data effectively. The process of generating reports is simple and user-friendly, enabling quick access to important information.

To generate reports, go to the Gateway of Tally, which is the main menu. From there, select the type of report required, such as Balance Sheet, Profit and Loss Account, Stock Summary, Cash Flow Statement, or Ledger Reports. Once selected, the report will be displayed instantly with real-time data.

Tally also provides options to customize reports. By pressing F12 (Configuration), users can modify settings such as showing additional details, filtering specific data, or changing display formats. The drill-down feature allows users to move from summary reports to detailed transaction-level information by simply selecting an item.

Reports can also be exported, printed, or emailed for external use. For example, financial statements can be shared with auditors or management. The ability to generate accurate and timely reports helps in monitoring business performance, controlling costs, and making informed decisions.

15. Features of Computerized Accounting

Computerized accounting refers to the use of software like Tally to record and manage financial transactions efficiently. Its major features are: [Any 5 Feature]

1. **Speed and Accuracy**
   Computerized systems process transactions very quickly compared to manual methods. Calculations are done automatically, reducing human errors and ensuring accurate financial records.
2. **Real-Time Processing**
   All transactions are updated instantly, allowing users to generate reports like Balance Sheet and Profit & Loss Account at any time. This helps in quick decision-making.

3. **Data Security**
   Computerized accounting provides strong security through passwords and user-level access control. Only authorized users can access or modify financial data, ensuring confidentiality.
4. **Multi-User Access**
   Multiple users can work on the system at the same time. This improves efficiency and coordination in large organizations.
5. **Statutory Compliance**
   Accounting software is regularly updated to comply with tax laws such as GST and TDS. This helps businesses meet legal requirements easily.
6. **Automation of Tasks**
   Routine tasks like ledger posting, calculations, and report generation are automated. This reduces manual effort and saves time.
7. **Easy Reporting and Analysis**
   Various financial and inventory reports can be generated instantly. These reports help in analyzing business performance and planning future strategies.

16. What is a Purchase Voucher?

A Purchase Voucher is an accounting document used to record all purchase transactions of goods or services in Tally. It plays a vital role in maintaining accurate purchase records and updating inventory and accounts.

In Tally, a Purchase Voucher is created using **F9 (Purchase Voucher)**. It records details such as the **supplier's name, invoice number, date, quantity, rate, and total amount**. It can be recorded in two modes: **Item Invoice Mode** (affects both inventory and accounts) and **Accounting Invoice Mode** (affects only accounts).

When goods are purchased, the purchase voucher increases the stock quantity and records the liability towards the supplier. It also helps in calculating taxes such as GST automatically.

Purchase vouchers are important for tracking expenses, maintaining supplier records, and preparing financial statements. They also help in verifying purchase transactions during audits.

Thus, a Purchase Voucher is an essential tool for recording and managing purchase activities in a systematic and accurate manner.

17. Describe the procedure for selecting and closing a company

In Tally, selecting and closing a company are basic operations required for managing multiple company accounts efficiently.

To **select a company**, go to **Gateway of Tally → Select Company**. A list of available companies will be displayed. Choose the required company and press Enter. Once selected, the company becomes active, and all transactions and reports will relate to that company.

To **close a company**, press **Alt + F1 (Close Company)** or use the company menu option. This will remove the company from the active screen but will not delete its data. The data remains محفوظ and can be accessed again by selecting the company.

This feature is useful when working with multiple companies, as it allows users to switch between them easily without confusion. It also ensures better data management and prevents errors in recording transactions.

Thus, selecting and closing companies in Tally is an important function for maintaining organized and efficient accounting records.

18. Procedure for Creating, Displaying, Altering, and Deleting Stock Items

Stock Items represent the goods handled by a business and are essential for inventory management in Tally. Proper management of stock items ensures accurate tracking and reporting.

To create a stock item, go to Gateway of Tally → Inventory Info → Stock Items → Create. Enter details such as Name, Stock Group, Unit of Measurement, Rate, and Opening Balance, then save.

To display a stock item, go to Display → Inventory Books → Stock Item. This allows users to view details without making any changes.

To alter a stock item, select Inventory Info → Stock Items → Alter, choose the item, make necessary changes, and save.

To delete a stock item, open it in alter mode and press Alt + D. This will remove the item permanently.

These functions help in maintaining accurate inventory records, updating information when required, and ensuring smooth business operations.

Part C
Essay Questions
Answer any 2 questions
Each question carries 10 marks

19. Types of Vouchers Used in Tally

Vouchers in Tally are documents used to record business transactions. They are broadly classified into Accounting Vouchers, Inventory Vouchers, and Payroll Vouchers, each serving a specific purpose in recording financial and stock-related activities.

1. Accounting Vouchers

These vouchers are used to record financial transactions:

- Contra Voucher (F4): Records cash and bank transactions like deposits and withdrawals.
- Payment Voucher (F5): Used for payments made by the business.
- Receipt Voucher (F6): Used for money received.
- Journal Voucher (F7): Records adjustment entries such as depreciation and provisions.

- Sales Voucher (F8): Records sales transactions.
- Purchase Voucher (F9): Records purchase transactions.
- Debit Note (Ctrl + F9): Used for purchase returns.
- Credit Note (Ctrl + F8): Used for sales returns.

2. Inventory Vouchers

These vouchers track stock movement:

- Receipt Note: Records goods received.
- Delivery Note: Records goods delivered.
- Rejections In: Records goods returned by customers.
- Rejections Out: Records goods returned to suppliers.
- Stock Journal: Records stock transfer between godowns.
- Physical Stock Voucher: Used for stock verification.

3. Payroll Vouchers

- Attendance Voucher: Records employee attendance.
- Payroll Voucher: Records salary payments.

Thus, vouchers in Tally ensure systematic recording and proper classification of all business transactions.

20. Procedure for Altering Transactions and Maintaining Accuracy in Computerized Accounting Systems

In computerized accounting systems like Tally, altering transactions is an important feature that allows correction of errors and updating of records while maintaining accuracy.

Procedure for Altering Transactions

To alter a transaction:

1. Go to Gateway of Tally → Display → Day Book or select the relevant voucher register.
2. Choose the required transaction.
3. Press Enter to open it in Alter Mode.
4. Make necessary corrections such as amount, ledger, or narration.
5. Save the changes.

Alternatively, users can directly go to Accounting Vouchers, select the voucher type, and access previous entries for alteration.

Maintaining Accuracy

While altering transactions, maintaining accuracy is crucial. The following practices help ensure reliable data:

- Use Audit Features: Tally Audit tracks all changes made to transactions.
- User Access Control: Restrict alteration rights to authorized personnel only.
- Voucher Verification: Regularly verify vouchers to detect errors.
- Backup Data: Maintain periodic backups before making major changes.
- Use Correct Dates and Ledgers: Ensures proper classification of transactions.

Importance

Altering transactions helps correct mistakes without deleting records. At the same time, proper control measures ensure data integrity, prevent fraud, and maintain reliable financial statements. Computerized accounting systems provide flexibility along with accuracy when proper procedures and controls are followed.

21. Adjustment Entry for Outstanding Salaries and Prepaid Rent

Adjustment entries are made at the end of an accounting period to ensure that incomes and expenses are recorded in the correct period according to the **accrual concept**.

1. Outstanding Salaries

Outstanding salaries refer to salaries that are due but not yet paid at the end of the accounting period. Since it is an expense incurred, it must be recorded.

Journal Entry:

Salaries A/c Dr.

To Outstanding Salaries A/c

This entry increases the salary expense and recognizes a liability in the Balance Sheet. It ensures that expenses are matched with the period in which they are incurred.

2. Prepaid Rent

Prepaid rent refers to rent paid in advance for a future period. Since it is not an expense of the current period, it must be adjusted.

Journal Entry:

Prepaid Rent A/c Dr.

To Rent A/c

This entry reduces the rent expense and records prepaid rent as an Current asset in the Balance Sheet.

Importance of Adjustment Entries

- Ensures accurate profit calculation
- Follows the matching principle
- Reflects correct financial position
- Avoids overstatement or understatement of income and expenses

Adjustment entries like outstanding salaries and prepaid rent are essential for preparing true and fair financial statements. They ensure that all expenses and incomes are recorded in the correct accounting period.